

Section : Accountancy Core

Q.1 Which of the following item is not shown in the Profit and Loss Appropriation Account?

1. Partner's Salary
2. Interest on Drawings
3. Interest on Capital
4. Depreciation

Options 1. 1

2. 2
3. 3
4. 4

Q.2 Dissolution of a firm takes place on the happening of certain contingencies. Choose them from the following:

- (A) By the death of a partner
- (B) By the adjudication of a partner as an insolvent
- (C) When the business of the firm becomes illegal
- (D) If constituted for a fixed term, by the expiry of that term

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (B) and (C) only
3. (A), (B), (C) and (D) only
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.3 Identify the steps of the procedure of share issue:

- (A) Allotment of Shares
- (B) Receipt of Applications
- (C) Issue of Prospectus
- (D) Share Call

Choose the correct answer from the options given below:

1. (A), (B), (C),(D)
2. (A), (C), (B),(D)
3. (B), (A), (C),(D)
4. (C), (B),(A),(D)

Options 1. 1

2. 2
3. 3
4. 4

Q.4 Which of the following statements about share capital is TRUE?

- (A) A company's shares are generally transferable.
- (B) Share application account is a personal account.
- (C) The part of capital which is called up only on winding up of a company is called reserve capital.

(D) Paid up capital can exceed called up capital.

Choose the *correct* answer from the options given below:

1. (A), (B) and (D) only
2. (A), (B) and (C) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.5 Choose the correct statement in respect of the Fixed Capital Method for a Partnership Firm :-

1. Closing Balance of Partners' Current Account will never be a zero.
2. Closing Balance of Partners' Capital Account may be a debit or may be a credit.
3. Closing Balance of Partners' Capital Account will always be a credit.
4. Closing Balance of Partners' Current Account will never be a credit.

Options 1. 1

2. 2
3. 3
4. 4

Q.6 Match List-I with List-II

List-I	List-II
Expenses incurred to earn the income	Explanation
(A) Purchase of Stock-in-trade	(I) Expenses towards interest charges during the year on the borrowings
(B) Employees benefit expenses	(II) Diminution in the value of fixed assets
(C) Finance cost	(III) Purchases of goods for the purpose of trading
(D) Depreciation	(IV) Expenses incurred on employees towards salary, wages, leave encashment, staff welfare, etc

Choose the correct answer from the options given below:

1. (A) – (I), (B) – (III), (C) – (III), (D) – (IV)
2. (A) – (I), (B) – (III), (C) – (II), (D) – (IV)
3. (A) – (I), (B) – (IV), (C) – (IV), (D) – (III)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.7 In the absence of any information, it is assumed that the remaining partners acquire the share of profit of the retiring/deceased partner in:

1. New Profit Sharing Ratio
2. Old Profit Sharing Ratio
3. Equal Ratio
4. Capital sharing ratio

Options 1. 1

2. 2
3. 3
4. 4

Q.8 By virtue of which section of the Indian Partnership Act 1932, partnership is defined as the 'relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all'.

1. Section 1
2. Section 4
3. Section 2
4. Section 3

Options 1. 1

2. 2
3. 3
4. 4

Q.9 The balance of the share forfeiture account is shown in the balance sheet under:

1. Unsecured loans
2. Share capital
3. Reserves and surplus
4. Current liabilities and provisions

Options 1. 1

2. 2
3. 3
4. 4

Q.10 A debenture which is transferable merely by delivery is:

1. First debenture
2. Registered debenture
3. Bearer debenture
4. Mortgage debenture

Options 1. 1

2. 2
3. 3
4. 4

Q.11 Match List-I with List-II

List-I

List-II

- (A) Calls in advance (I) The maximum number of members is 200.
(B) Calls in arrears (II) 12%
(C) Private company (III) 10%
(D) Public company (IV) No limit on the maximum number of members.

Choose the correct answer from the options given below:

1. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
2. (A) – (II), (B) – (III), (C) – (I), (D) – (IV)
3. (A) – (I), (B) – (II), (C) – (IV), (D) – (III)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.12 All assets except cash/bank and fictitious assets are transferred to the Debit side of the _____ Account.

1. Realisation Account
2. Capital Account
3. Revaluation Account
4. Current Account

Options 1. 1

2. 2
3. 3
4. 4

Q.13 Equity shareholders are..... of the company:

1. Owners
2. Creditors
3. Customers
4. Debtors

Options 1. 1

2. 2
3. 3
4. 4

Q.14 The amount of Securities Premium can be used only for the following purposes:

- (A) To write off preliminary expenses.
- (B) To make partly paid shares as fully paid up.
- (C) To issue fully paid bonus shares.
- (D) Purchase of its own shares.

Choose the correct answer from the options given below:

1. (A), (B) and (C) only
2. (A), (C) and (D) only
3. (A), (B) and (D) only
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.15 ABC Industries Ltd, issued 2,000, 10% Debentures of Rs.100 each, at a premium of Rs. 10 per debenture payable as follows: On application Rs. 50 On allotment Rs. 60 The debentures were fully subscribed, and all money was duly received. The amount of long-term borrowings on the balance sheet will be

1. 2,00,000
2. 1,00,000
3. 1,20,000
4. 2,20,000

Options 1. 1

2. 2
3. 3
4. 4

Q.16 When a new partner is admitted, the increase in the value of the assets is debited to which account?

1. Assets account
2. Profit and Loss Adjustment account
3. Old partner's capital account
4. Profit and Loss account

Options 1. 1

2. 2
3. 3
4. 4

Q.17 Arrange the following in the correct sequence:

- (A) Called-up capital
- (B) Subscribed capital
- (C) Issued capital
- (D) Paid-up capital

Choose the correct answer from the options given below:

- 1. (A), (B), (C), (D)
- 2. (A), (C), (B), (D)
- 3. (B), (A), (D), (C)
- 4. (C), (B), (A), (D)

Options 1. 1

2. 2

3. 3

4. 4

Q.18 Which of the following statements truly makes the distinction between Dissolution of Partnership and Dissolution of Firm:

- (A) In dissolution of partnership, business is not terminated, while in dissolution of firm business is terminated.
- (B) The Court intervenes in dissolution of Partnership because a partnership is not dissolved by mutual agreement. A firm can not be dissolved by court order.
- (C) Economic relationships between partners continue in a changed form in dissolution of partnership. Economic relationships between the partners come to an end at the dissolution of the Firm.
- (D) Dissolution of Partnership doesn't require permanent closure of books, while in Dissolution of firm books are closed.

Choose the correct answer from the options given below:

- 1. (A), (B) and (D) only
- 2. (A), (C) and (D) only
- 3. (A), (B), (C) and (D)
- 4. (B), (C) and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.19 In case there is no information regarding the acquisition of a share in profit of the retiring/deceased partner by the remaining partners, the assumption is that they will acquire his/her share in the:

- 1. Old profit sharing ratio
- 2. New profit sharing ratio
- 3. Equal ratio
- 4. Gaining ratio

Options 1. 1

2. 2

3. 3

4. 4

Q.20 Opening capital balances of partners will be calculated by using which of the following formula :-

- 1. Closing Capital - Addition to the Capital + Withdrawal of Capital - interest on Capital + Drawings + interest on drawings + Share of Loss + Share of Profit
- 2. Closing Capital - Addition to the Capital + Withdrawal of Capital - interest on Capital + Drawings + interest on

drawings - Share of Loss - Share of Profit

3. Closing Capital - Addition to the Capital + Withdrawal of Capital - interest on Capital + Drawings + interest on drawings + Share of Loss - Share of Profit

4. Closing Capital - Addition to the Capital + Withdrawal of Capital + interest on Capital + Drawings + interest on drawings + Share of Loss - Share of Profit

Options 1. 1

2. 2

3. 3

4. 4

Q.21 On retirement or death of a partner, the remaining partners who have gained due to change in the profit sharing ratio should compensate the:

1. Remaining partners (who have sacrificed) as well as retiring partners

2. Remaining partners only (who have sacrificed)

3. Retiring partners only

4. None of the partners

Options 1. 1

2. 2

3. 3

4. 4

Q.22 Match List-I with List-II

Revaluation of assets and reassessment of liabilities at the time of admission of a new partner

List-I

List-II (Journal Entry)

(A) For increase in the value of an asset (I) Revaluation A/c Dr. To Asset A/c

(B) For reduction in the amount of a liability (II) Revaluation A/c Dr. To Liability A/c

(C) For reduction in the value of an asset (III) Asset A/c Dr. To Revaluation A/c

(D) For appreciation in the amount of a liability (IV) Liability A/c Dr. To Revaluation A/c

Choose the correct answer from the options given below:

1. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)

2. (A) – (I), (B) – (III), (C) – (II), (D) – (IV)

3. (A) – (I), (B) – (III), (C) – (IV), (D) – (III)

4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2

3. 3

4. 4

Q.23 If the partnership deed is silent, at what rate, the interest would be charged on the drawings made by the partner:

1. 0%

2. 8%

3. 12%

4. 5%

Options 1. 1

2. 2

3. 3

4. 4

Q.24 A, B and C are partners in a firm. On retirement/death of C, his capital account will be credited with:

1. His share of goodwill

2. Share of goodwill of A
3. Share of goodwill of B
4. Goodwill of the firm

Options 1. 1

2. 2
3. 3
4. 4

Q.25 Match List-I with List-II

List-I (Allotment of Shares)

(A) For Transfer of Application Money

(B) For Money Refunded on Rejected Application

(C) For Amount Due on Allotment

(D) For Receipt of Allotment Money

List-II (Journal Entry)

(I) Share Application A/c Dr. To Bank A/c

(II) Bank A/c Dr. To Share Allotment A/c

(III) Share Application A/c Dr. To Share Capital A/c

(IV) Share Allotment A/c Dr. To Share Capital A/c

Choose the correct answer from the options given below:

1. (A) – (III), (B) – (I), (C) – (IV), (D) – (II)
2. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
3. (A) – (I), (B) – (II), (C) – (IV), (D) – (III)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.26 According to Sec 2 (62) of Companies Act, 2013, the maximum amount of paidup share capital of an OPC is:

1. 50 Lakhs
2. 2 Crore
3. 10 lakhs
4. 1 crore

Options 1. 1

2. 2
3. 3
4. 4

Q.27 The Partnership Deed usually contains the following details:

(A) Amount of capital to be contributed by each partner

(B) The accounting period of the firm

(C) Profit and loss sharing ratio

(D) The rights, duties and liabilities of each partner

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (B) and (C) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.28 Which of the following statements about debentures is FALSE?

- (A) Debenture is a part of owned capital.
- (B) Debentures cannot be converted into shares.
- (C) Redeemable debentures are those debentures, which are payable on the expiry of the specific period.
- (D) Debentures cannot be issued at a premium.

Choose the *correct* answer from the options given below:

- 1. (A), (B) and (D) only
- 2. (A), (B) and (C) only
- 3. (A), (B), (C) and (D)
- 4. (B), (C) and (D) only

Options

- 1. 1
- 2. 2
- 3. 3
- 4. 4

Q.29 The period of how many month/months must elapse between two calls.

- 1. 2 months
- 2. 1 month
- 3. 3 months
- 4. 6 months

Options

- 1. 1
- 2. 2
- 3. 3
- 4. 4

Q.30 According to 'Table F', interest on calls-in-arrears is charged at:

- 1. .11%
- 2. .8%
- 3. 6%
- 4. 10%

Options

- 1. 1
- 2. 2
- 3. 3
- 4. 4

Q.31 When the deceased partner's share in the estimated loss is calculated for a period from the date of the latest Balance Sheet to the date of death of the partner, then:

- 1. Profit and Loss Suspense Account will be debited and the Old Partner's Capital Account will be credited.
- 2. Profit and Loss Suspense Account will be debited and the Gaining Partner's Capital Account will be credited.
- 3. Profit and Loss Suspense Account will be debited and Deceased Partner's Capital Account will be credited.
- 4. Profit and Loss Suspense Account will be credited and Deceased Partner's Capital Account will be debited.

Options

- 1. 1
- 2. 2
- 3. 3
- 4. 4

Q.32 In case of dissolution of partnership firm, any liability assumed/paid by a partner is shown on.....?

- 1. Debit of Realisation Account
- 2. Debit of Bank Account

3. Credit of Realisation Account

4. Credit of Bank Account

Options 1. 1

2. 2

3. 3

4. 4

Q.33 Which of the following characteristics is highlighted in the statement: "He can bind other partners by his acts and also is bound by the acts of other partners with regard to the business of the firm."

1. Agreement between Partners

2. Liability of Partners

3. Sharing of Profit

4. Mutual Agency

Options 1. 1

2. 2

3. 3

4. 4

Q.34 A share having a face value of Rs.12, on which Rs. 10 is called-up and Rs. 8 is paid, is forfeited. State the amount with which the Share Capital account will be debited

1. 12

2. 10

3. 8

4. 4

Options 1. 1

2. 2

3. 3

4. 4

Q.35 Arjun and Vaibhav are partners sharing profits in the ratio of 3:2. They admitted Rahul as a new partner for $\frac{1}{5}$ share in the future profits of the firm. The new partner acquired his share from the old partners in the old ratio. Calculate the new profit sharing ratio of Arjun, Vaibhav and Rahul.

1. 12:8:5

2. 12:7:6

3. 12:11:10

4. 11:10:8

Options 1. 1

2. 2

3. 3

4. 4

Q.36 A minimum of days' notice is to be given to the shareholders to pay the amount of any call :-

1. 30

2. 20

3. 15

4. 14

Options 1. 1

2. 2

3. 3

4. 4

Q.37 The accumulated profits and reserves are transferred to:

1. Bank Account

2. Partners' Capital Accounts

3. Realisation Account
4. Partners' Loan Accounts

Options 1. 1

2. 2
3. 3
4. 4

Q.38 Which of the following is NOT a feature of partnership?

1. Two or more persons
2. Disagreement
3. Mutual agency
4. Sharing of profit

Options 1. 1

2. 2
3. 3
4. 4

Q.39 A, B and C are partners sharing profits in the ratio of 3:2:1. A retires and his share is taken up by B and C in the ratio of 3:2. Calculate the new profit sharing ratio.

1. 21:10
2. 19:11
3. 18:12
4. 15:12

Options 1. 1

2. 2
3. 3
4. 4

Q.40 While issuing shares, the application money should be atleast of face value.

1. 20%
2. 15%
3. 5%
4. 10%

Options 1. 1

2. 2
3. 3
4. 4

Q.41 P, Q and R are partners in a firm. If S is admitted as a new partner then:

1. The old firm and old partnership are dissolved
2. The old firm is dissolved
3. The old partnership is reconstituted
4. The old partnership firm is dissolved

Options 1. 1

2. 2
3. 3
4. 4

Q.42 Ram, Karan and Shyam are partners. On retirement of Ram, the goodwill already appears in the Balance Sheet at Rs. 32,000. The goodwill will be written-off:

1. By debiting the capital accounts of Ram, Karan and Shyam in their old profit sharing ratio
2. By debiting the capital accounts of Karan and Shyam in their new profit sharing ratio
3. By debiting the capital account of Ram from his share of goodwill

4. By debiting the capital accounts of Karan and Shyam in their old profit sharing ratio

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.43 Match List-I with List-II

List-I

(Book/Theory proposed/Characteristic, etc.)

(A) Authorised Capital

(B) Issued Capital

(C) Subscribed Capital

(D) Reserve Capital

List-II

(Author/Thinker/Name of Theory, etc.)

(I) Only available to creditors at the time of winding up of a company

(II) The amount of capital that a company can raise in its lifetime

(III) Capital that is issued to the public for subscription

(IV) May be equal to or less than issued capital

Choose the correct answer from the options given below:

- 1. (A) – (II), (B) – (III), (C) – (IV), (D) – (I)
- 2. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
- 3. (A) – (IV), (B) – (I), (C) – (IV), (D) – (III)
- 4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.44 Match List-I with List-II

List-I

Type of Debenture

(A) Redeemable Debenture

(B) Perpetual Debenture

(C) Specific Coupon Rate Debenture

(D) Bearer Debenture

List-II

Meaning

(I) Payable on the expiry of the specific period either in lump sum or in installments during the lifetime of the company.

(II) Company does not give any undertaking for the repayment of money borrowed by issuing such debentures.

(III) Issued with a specified rate of interest, which is called the coupon rate.

(IV) Can be transferred by way of delivery and the company does not keep any record of the debenture.

Choose the correct answer from the options given below:

- 1. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
- 2. (A) – (I), (B) – (III), (C) – (II), (D) – (IV)
- 3. (A) – (I), (B) – (II), (C) – (IV), (D) – (III)
- 4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.45 Sumit, a partner in Tours and Travels withdrew money during the year ending March 31, 2020 from his capital account, for his personal use. Calculate interest on drawings at simple rate of interest of 10 percent per annum and If an amount of Rs. 4,000 per month was withdrawn by sumit at the end of each month.

1. 2100
2. 2020
3. 2200
4. 2050

Options 1. 1

2. 2
3. 3
4. 4

Section : Analysis of Financial Statements

Q.46 Disclosure of shares (specifying the number of shares held) in a company is required for each shareholder holding..... shares.

1. More than 10%
2. More than 5%
3. More than 15%
4. More than 20%

Options 1. 1

2. 2
3. 3
4. 4

Q.47 Which among the following are the commonly used tools for financial analysis?

- (A) Horizontal analysis
- (B) Vertical analysis
- (C) Ratio analysis
- (D) Trend analysis

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (B) and (C) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.48 Cash advances and loans made by financial enterprises are usually classified as ____ activity.

1. Financing Activity
2. Operating Activity
3. Investing Activity
4. Promotional Activity

Options 1. 1

2. 2
3. 3
4. 4

Q.49 Arrange the following outcomes in the correct order for calculating profit and loss in the common-size statement

- (A) Net Profit
- (B) Non-Operating Income
- (C) Revenue from Operations

(D) Profit after tax

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (C), (B), (A), (D)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.50 A trader carries an average inventory of Rs. 60,000. His inventory turnover ratio is 12 times. If he sells goods at a profit of 20% on revenue from operations, find out the gross profit.

1. 80,000
2. 2,80,000
3. 1,80,000
4. 60,000

Options 1. 1

2. 2
3. 3
4. 4

Section : Computerized Accounting Systems

Q.51 In accounting, a transaction consists of data elements which includes:

- (A) Name of Account
- (B) Accounting Code
- (C) Date of Transaction
- (D) Amount

Choose the correct answer from the options given below:

1. (B) and (D) only
2. (A), (B) and (C) only
3. (A), (B), (C) and (D)
4. (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.52 Which of the following is not considered a component of Computerized Accounting System?

1. People
2. Procedure
3. Process
4. Data

Options 1. 1

2. 2
3. 3
4. 4

Q.53 Every accounting software ensures the following:

- (A) Password Security

(B) Data Audit

(C) Data Leakage

(D) Data Vault

1. (A), (B) and (D) only
2. (A) and (B) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.54 The term "_____". means "a system of letter or figure with arbitrary meaning for brevity and for machine processing of information"

1. Data
2. Array
3. Range
4. Code

Options 1. 1

2. 2

3. 3

4. 4

Q.55 What type of coding uses abbreviations or letters to represent specific information like "SJ" for Sales Journal?

(A) Sequential Code

(B) Block Code

(C) Mnemonic Code

(D) Numerical Code

Choose the correct answer from the options given below:

1. (A) only
2. (A), (B) and (C) only
3. (C) only
4. (B) and (C) only

Options 1. 1

2. 2

3. 3

4. 4